

Subject: Summary of Key Issues for Mediation

Dear Mediator,

We write on behalf of our client, Mr. Chan Tai Man, to present the key issues that he wishes to address during the upcoming mediation.

1. Delay in Completion of Renovation Works

The renovation was agreed to be completed by 15 January 2025 but was delayed by at least three weeks, causing our client to incur additional accommodation and living expenses estimated at HKD 330,000.

2. Substitution of Materials Without Prior Approval

During site inspections, our client observed the use of lower-grade tiles, waterproofing materials, and fixtures that differed from the items specified in the contract. These substitutions were made without prior approval and have compromised the durability and aesthetic standard of the renovation.

3. Concerns Regarding Workmanship Quality

Our client has identified issues including misaligned tiling, uneven installation, and early signs of waterproofing failure, leading to the need for substantial rectification works. The estimated cost for these remedial works is HKD 550,000.

4. Imposition of Additional Charges Without Agreement

Invoices issued during the project contained approximately 15% additional charges beyond the contract amount. These were neither discussed nor approved in advance, including charges listed as “specialized labor.” Our client disputes the legitimacy of such charges.

5. Financial Loss and Requested Compensation

Taking into account the delays, defective work, and reduced property value, our client seeks HKD 600,000 as compensation, reflecting the costs of additional accommodation, necessary remedial works, and depreciation of the renovated space.

6. Communication Difficulties

Throughout the renovation, our client sought timely updates and explanations regarding delays, substitutions, and additional charges. However, responses from the other party were often delayed or insufficient, contributing to uncertainty and frustration.

Our client is committed to resolving this matter constructively and views mediation as an appropriate forum for doing so.

Respectfully,

Sarah Tan
Senior Partner
Tan & Chung Partners LLP
Legal representative for Mr. Chan Tai Man